
SM131 – Exam #2 Review Guide

v. October 29, 2025

This Guide identifies key course readings, cases, frameworks, concepts, & issues relevant for Exam #2. All SM131 exams are cumulative, so all Module #1 content is eligible for testing on Exam #2. New content on Exam #2 begins with the Strategy lecture from Week #5 and Strategy discussion in Week #6, and includes all materials from Weeks #7, #8, and #9. While all materials presented in the readings, lecture, discussions, simulations, and workshops can be considered as ‘fair game’ on all SM131 exams, relative amount of ‘market share’ of page counts, lecture time, and other class/activity time we devote to course frameworks, concepts, and issues is a good indicator of the extent of emphasis we place on such frameworks during exams – i.e., the more pages and class time we devote to a topic, the more important we think it is and, ideally, the more important it will be on exams.

Note that this Guide meant to be illustrative, but not 100% comprehensive!

- ✱ The emphasis of the Midterm is on understanding the core frameworks, concepts, and issues presented and discussed in the course, including, especially, those listed below. Sometimes it is important to know the names of the authors of important ideas – e.g., that it was Adam Smith who wrote **The Wealth of Nations** and extolled the virtues of capitalism in delivering goods and services and Karl Marx who wrote **Das Kapital** and feared that unfettered capitalism would lead to massive profits for capitalists and poverty for workers. However, our emphasis is on application of concepts rather than memorization.
- ✱ Please focus on the **cases** that we read in preparation for our lecture and discussion sessions with the aim of being able to use case information to apply course concepts. Please do not feel the need to know the full range of case details, e.g., names of company executives or dates of particular corporate actions. It is useful, however, to know the central **issues** in each case we read and to be prepared to apply the key concepts of the course to each of the cases that we have read. This will require an understanding of the basic plotlines and central facts of each case. You should not feel responsible for remembering the details of cases that we discussed in Lecture or Discussion Sections unless materials associated with those cases were assigned as readings. For example, if your faculty member discussed Tesla in class, but we did not have an assigned reading on Tesla, it would be unfair of us to ask about such case details on an exam.

Other Exam information

- The Midterm may involve many types of questions, but the predominant mode will involve text or bullet point responses of short, medium, or longer lengths (e.g., 1-2 bullets, 3-5 bullets, or 10-15 bullets).
- Up to 30% of exam points will be based on multiple choice or multiple answer questions.
- All exams in SM131 will be cumulative!
- All exams in SM131 will be administered via ExamSoft. Please be ready to take the exam via ExamSoft.
- If you qualify for accommodations on the exam, please be sure to present your materials from the **Office of Disability & Access Services (ODS) to your instructor two weeks before the exam**. If you are waiting on pending materials from the ODS, please inform your faculty member of that as well.
- Please do not do anything that resembles cheating on the exam! If you are worried that you might feel a need to do something that resembles cheating, please reach out to an instructor (or TA) beforehand. We are serious! We want everyone to do well, but we are **very committed** to academic integrity at Questrom. If you have any worries about academic misconduct on the exam (or other areas of SM131), please reach out to us as soon as you can.

Course Learning Goals

Upon completion of this course, students should be able

1. to help firms formulate plans **to create and capture economic value**
2. to explain the various **functions of a business** and to explain why firms exist, what roles they play, and **how firms operate in different economic, political, and social environments**
3. to explain the conditions under which **markets emerge and operate effectively**; to understand the role of **competition** driving efficiency and innovation; to characterize the causes, consequences, and business implications of **market failures**; and to apply these principles to make sound managerial recommendations regarding firm value creation and capture in imperfect markets.
4. to formulate and justify **responsible and ethical managerial decisions** based on an understanding of the roles and relationships of **businesses, governments, and other economic stakeholders**

Week #5/6 - Business Strategy

Learning Goals: *by the conclusion of this week, students will be able...*

1. to understand the role of Business Strategy in creating value and in coordinating all of the functions of an organization
2. to develop a facility with three basic tools of Business Strategy, i.e., SWOT Analysis, Five Forces Analysis, and Competitive Positioning Analysis
3. to understand how competitive environments affect firm strategy and the ability of firms to capture value

Lecture Readings & Videos

- "Introduction to Strategy"

Key Frameworks, Concepts, & Issues:

- What is competitive advantage?
- What is the difference between temporary and sustained competitive advantage?
- What is strategy? What is it not?
- Five facts about strategy: (1) goal of strategy = improving long-term performance, (2) strategy as coordinating mechanism, (3) strategy requires an explicit consideration of rivals, (4) fundamental fact of strategy (profits vary across and within industry), (5) tradeoffs as the essence of business strategy
- SWOT analysis
- Porter's Five Forces framework
- Competitive Positioning matrix

Week #7 - Firms in Economic & Political Systems

Lecture & Discussion Readings:

- "Note on Political and Economic Systems"
- "The Invisible Hand," (Ch. 6) in Niall Kishtainy, *A Little History of Economics*, 31-36.
- "The Workers of the World," (Ch. 10) in Niall Kishtainy, *A Little History of Economics*, 55-60.
- "Political Economy of Economic Policy," Jeffrey Frieden

Case(s):

- "TikTok Case Study"

Learning Goals

- introducing the different types of **economic systems**
- introducing the different types of **political systems**
- understanding how the nature of economic & political systems **create environments** that shape and constrain opportunities for businesses
- beginning the process of **socialization** into Questrom
- understanding the key characteristics and goals of different political (democracy, autocracy) and economic systems (capitalism, socialism, feudal)
- becoming aware of the historical evolution of capitalism and socialism, how they were responses to problems of prevailing systems.
- understanding how modern economies mix features of capitalist & socialist systems
- recognizing the impact of political and economic environments on the opportunities for firms to create and capture value
- being able to think critically about how economic and political systems constrain and enable business operations

Key Frameworks, Concepts, & Issues:

- political systems: features & impact on business
 - autocratic systems
 - democratic systems
- economic systems: features & impact on business

- feudalism, capitalism, mercantilism, socialism, communism
 - mixed economic systems
- Frieden & Political Economy of Economic Policy
 - interplay of interests and institutions
 - second-best policies
 - policy & political feasibility

Week #8: Introduction to Markets & the role of Business in Markets

Lecture & Discussion Materials:

- Lecture Reading: “Note on Markets”
- Hayek video or reading
- I Pencil video or reading
- Note on Market Design or video

Learning Goals (by the end of the week, students will be able...)

- to understand and explain the origin and functioning of markets, to discern the factors that drive market efficiency, to recognize differences across market types,
- to explain the social and economic benefits that firms in well-functioning markets can provide as well as the challenges for society that markets can create
- to recognize the importance of infrastructure and inclusive economic institutions in enabling business to provide the potential benefits associated with well-functioning markets
- to provide business recommendations regarding how firms can leverage markets to create and capture value

Key Frameworks, Concepts, & Issues:

- markets
- prices & the role of the price mechanism in markets
- search costs
- perfect & imperfect competition
- barter system
- medium of exchange
- central planning
 - why Hayek considers markets superior to central planning
 - Hayek’s view of markets & information gathering
- market efficiency
- benefits of efficient (and well-functioning markets)
 - promoting efficient allocation of resources
 - promoting competition →
 - product variety, consumer choice, consumer satisfaction
 - promoting innovation
 - Marx’s view of innovation in capitalism
 - Deirdre McCloskey’s view of innovation in capitalism
 - promoting investment, risk-taking, and capital formation
 - promoting international trade, technology diffusion, & economic development
 - promoting economic freedoms
 - note that this is more controversial
 - note that not all markets are efficient
 - see Week #9!
- role of institutions in markets
 - key ways institutions and governments support markets
 - guaranteeing property rights
 - enforcing of contracts
 - investing in public goods & national/regional infrastructure
 - promoting financial stability, regulatory certainty, providing safety nets, establishing trust

- extractive institutions
- inclusive economic institutions
 - e.g., secure property rights, role of law, broad access to education, fair, open, and competitive markets, transparent, informed policy-making and equal treatment by government
 - benefits: fostering innovation, reducing poverty, social stability, resilience to crises
- potential downsides of (even effective) markets
 - income inequality & wealth disparities; short-term focus; ethical concerns; instability & market crises
- different types of markets
 - factor markets; product markets; matching markets; platform markets
- role of network effects in markets
- role of business in markets
- financial market concepts
 - efficient market hypothesis
 - arbitrage

Week #9: Market Failures, Business, & Governments

Lecture & Discussion Materials:

- Lecture Reading: “Note on Market Failure”
- Cases: Bell Labs, Google, Used Car, Prohibition, Cannabis, Solar Power

Learning Goals (by the end of the week, students will be able...)

- to understand the origins of market failures and their impact on markets, businesses, and society
- to articulate the options that governments have to address market failures and to recognize the challenges they face in mitigating the downsides of market failures
- to provide business recommendations regarding how firms can address market failures to create and capture value

Key Frameworks, Concepts, & Issues:

- market failure
- market power
 - how firms obtain market power
 - options for governments to address market power
 - approaches for firms to create and capture value from market power
- negative externalities
 - options for governments to address negative externalities
 - approaches for firms to create and capture value in markets with negative externalities
- positive externalities
 - options for governments to address positive externalities
 - approaches for firms to create and capture value in markets with positive externalities
- information problems
 - asymmetric information
 - adverse selection
 - moral hazard
 - options for governments to address information asymmetries
 - approaches for firms to create and capture value in markets with information asymmetries
- public goods
 - options for governments to address public goods problems
 - approaches for firms to create and capture value in markets with public goods problems
- transaction costs
 - options for governments to address transaction costs
 - approaches for firms to create and capture value in markets with transaction costs

EXAM #1 REVIEW GUIDE (abbreviated list of frameworks, concepts, & issues)

Week #0 – Business & Course Intro

Key Frameworks, Concepts, & Issues:

- why does a business's legal form matter?
- limited liability – what is it and how does it affect fundraising & risk taking?
- forms of business

Week #1 – Creating & Capturing Value

Key Frameworks, Concepts, & Issues:

- Theories of Value – e.g., Labor Theory of Value; Adam Smith, David Ricardo, & Karl Marx's views; Intrinsic (Objective) vs. Subject approaches to Value; Utility and the Marginal Revolution
- Industry Value Chain (often referred to simply as the "Value Chain")
 - raw materials, supplier, buyer
 - direction in which goods and payment flows in the Industry Value Chain
- Value Stick (aka, 'Value Creation & Capture Framework')
 - WTP, P, C
 - Value Captured by Buyers
 - Value Captured by the Firm
 - Value Captured by Suppliers (in the multi-party case)
 - Consumer & Producer Surplus
 - how can firms create value?
 - how can firms capture value?
- Amartya's Sen's perspective
 - not all value is economic value!
 - wellbeing & autonomy

Week #2: Porter's Value Chain & Value Creation via Marketing & Operations Management

Key Frameworks, Concepts, & Issues:

- Porter's Value Chain
 - goal of Porter's Value Chain
 - difference between Porter's Value Chain and the Industry Value Chain
 - primary activities vs. support activities
 - role of "fit" among activities
- Marketing
 - What is Marketing?
 - how can marketing affect value creation & capture?
 - what is "Marketing Myopia" and how may it matter?
- Operations & Supply Chain Management
 - what is Operations & Supply Chain Management
 - how can Operations & Supply Chain Management affect value creation & capture
 - the effectiveness-efficiency tradeoff

Week #3: Accounting & Financial Statements

Key Frameworks, Concepts, & Issues:

- sources of accounting information? (10K, 10Q; where to find them)
- Financial vs. Managerial Accounting
- GAAP vs. IFRS
- Income Statement
- Accounting Equation ($A = L + E$)
- Balance Sheet

- Book Value vs. Market Value
- Common-Sizing Financials
- Finance & Investors
 - debt investors vs. equity investors
 - publicly held firms vs. privately held firms
 - what do investors expect?
 - Principal-Agent (P-A) Problem
 - information asymmetry: moral hazard & adverse selection
 - Board of Directors (Independent Directors)

Week #4: Finance & Time Value of Money

Key Frameworks, Concepts, & Issues:

- value of investments to firm & and impact on shareholder value
- measures of profitability (i.e., measures of rates of return; measures of firm value capture)
- DuPont Formula
- Present Value
- Future Value
- Net Present Value (NPV)
- Internal Rate of Return (IRR)